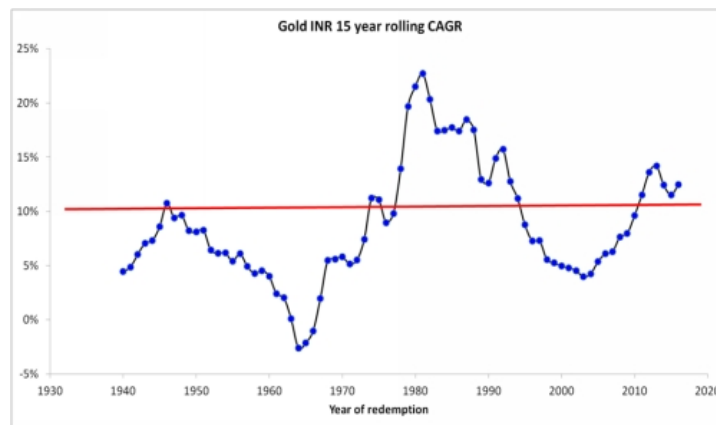


2) Long-term returns from gold (before tax) have varied so much in the past that it is impossible to predict what will happen in the future. Sometimes, keeping money in a savings bank account has been comparatively more profitable!



*Each dot is the return from a 15-year investment in gold. Past returns have varied from spectacular (24%) to abysmal (-3%) over 15 year periods.*

Some amount of physical gold will come in handy if there is a war or if our economic system collapses and the rupee becomes worthless. Then gold will become a currency. However, gold as an investment where we expect to profit from price changes is an entirely different ball game. Unlike the stock market where long term returns reflect the productivity growth of a country, returns from gold depend on various factors and are harder to peg down. This is because the intrinsic value of gold is debatable as it is not as widely used in industry as silver.

The stock market is risky but over the long-term, companies tend to do well as the nation's output improves. On the other hand, gold has undue risk but doesn't deliver returns consistently.